

ETHIOPIAN ELECTRIC UTILITY

Internal Audit Department

Audit Report for Procurement Compliance & Fraud Risk Audit

Engagement:	Procurement Compliance & Fraud Risk Audit
Eng. Number:	E2E-ENG-2026-001
Type:	Compliance Audit
Department:	Procurement and Logistics
Lead Auditor:	Tsion Girma
Supervisor:	Bekele Dejene
Risk Level:	critical

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1. BACKGROUND

This report presents the findings and recommendations from the audit engagement **Procurement Compliance & Fraud Risk Audit** conducted by the EEU Internal Audit Department. The audit was performed in accordance with the International Standards for the Professional Practice of Internal Auditing (IPPF) and the EEU Internal Audit Charter.

Engagement Title	Procurement Compliance & Fraud Risk Audit
Engagement Type	Compliance Audit
Audited Department	Procurement and Logistics
Status	Completed
Lead Auditor	Tsion Girma
Supervisor	Bekele Dejene
Planned Start	2026-03-01
Planned End	2026-05-30

Audit Objectives:

Assess compliance of the procurement process with EEU regulations; evaluate vendor selection controls; identify fraud risk indicators.

Audit Scope:

All procurement transactions above 100,000 ETB for the current fiscal year, including tender evaluations, vendor onboarding, and payment approvals.

2. EXECUTIVE SUMMARY

A total of **3** finding(s) were identified during this audit engagement. Of these, **1** are classified as Critical, **1** as High, **1** as Medium, and **0** as Low severity. The audit was conducted to evaluate the adequacy and effectiveness of internal controls within the audited area.

Severity Level	Count
CRITICAL	1
HIGH	1
MEDIUM	1

3. RISK ANALYSIS

The following risk assessment data relates to the department **Procurement and Logistics**. The risk analysis considers inherent risk, control effectiveness, and residual risk levels.

Period	Year	Likelihood	Impact	Risk Score	Rating	Control Eff.	Residual Risk
Q1	2026	5	4	20.00	CRITICAL	2	16.00
Annual	2026	4	4	19.20	CRITICAL	4	7.68
Annual	2026	4	4	16.00	HIGH	2	12.80

4. FINDINGS SUMMARY TABLE

The following table provides a comprehensive summary of all 3 finding(s) identified during this audit engagement.

#	Ref No.	Title	Severity	Category	Status	Recommendation
1	E2E-FIND-003	Potential Split Purchases Below Tender Threshold	MEDIUM	Fraud	CLOSED	Implement automated split-purchase detection in the ERP.
2	E2E-FIND-002	Tender Awarded Without Committee Quorum	CRITICAL	Compliance	CLOSED	Retrospectively review and ratify the tender decision with a full quorum.
3	E2E-FIND-001	Incomplete Vendor Due-Diligence Documentation	LOW	Control Deficiency	CLOSED	Implement system-enforced mandatory document upload.

Detailed Finding Descriptions:

E2E-FIND-003: Potential Split Purchases Below Tender Threshold [Severity: MEDIUM] [Status: CLOSED]

Condition: 5 separate purchase orders to vendor V-0145, each between 95,000–99,000 ETB, issued within a 14-day period.

Criteria: EEU Procurement Regulation Article 5.1 prohibits split purchasing to circumvent tender thresholds.

Cause: No automated monitoring or alert system for split-purchase detection. Procurement officers can issue multiple POs without system-level review.

Effect/Impact: Potential circumvention of competitive tendering; risk of inflated pricing and favoritism toward specific vendors.

Recommendation: Implement automated split-purchase detection in the ERP. Investigate the 5 transactions and recover any overpayment. Establish a quarterly spend analytics review.

Management Response: Management acknowledges the finding and has implemented corrective actions as detailed in the associated CAPA. All remediation steps are complete.

E2E-FIND-002: Tender Awarded Without Committee Quorum [Severity: CRITICAL] [Status: CLOSED]

Condition: Tender T-2024-015 was approved with only 2 of 3 required committee members present, violating quorum requirements.

Criteria: EEU Procurement Regulation Article 7.2 requires a minimum quorum of 3 committee members for tenders above 500,000 ETB.

Cause: Absence of a committee member was not escalated; no alternate member was designated. The procurement officer proceeded without quorum.

Effect/Impact: Potential legal challenge to the tender award; risk of biased vendor selection without proper oversight.

Recommendation: Retrospectively review and ratify the tender decision with a full quorum. Designate alternate committee members and enforce quorum checks in the tender management system.

Management Response: Management acknowledges the finding and has implemented corrective actions as detailed in the associated CAPA. All remediation steps are complete.

E2E-FIND-001: Incomplete Vendor Due-Diligence Documentation [Severity: HIGH] [Status: CLOSED]

Condition: 3 of 15 new vendors lack tax clearance certificates and bank verification letters in their registration files.

Criteria: EEU Procurement Manual Section 3.4 requires all vendors to submit complete due-diligence documentation before activation.

Cause: The vendor onboarding system does not enforce mandatory document upload before activation. Procurement officers can bypass the check manually.

Effect/Impact: Risk of fictitious vendor creation and fraudulent payments to unverified bank accounts.

Recommendation: Implement system-enforced mandatory document upload in the ERP vendor master. Re-verify all 3 vendors and obtain missing documentation within 30 days.

Management Response: Management acknowledges the finding and has implemented corrective actions as detailed in the associated CAPA. All remediation steps are complete.

5. CORRECTIVE ACTION PLAN (CAPA)

The following 3 corrective action(s) have been defined to address the findings identified during this audit engagement.

#	Action No.	Title	Finding Ref	Priority	Status	Owner	Due Date
1	E2E-CAPA-002	Ratify Tender Decision & Designate Alternate Committee Members	E2E-FIND-002	IMMEDIATE	CLOSED	Kidus Yosef	2026-08-18
2	E2E-CAPA-001	Enforce Mandatory Vendor Due-Diligence Upload	E2E-FIND-001	HIGH	CLOSED	Kidus Yosef	2026-09-02
3	E2E-CAPA-003	Implement Split-Purchase Detection & Investigate Transactions	E2E-FIND-003	MEDIUM	CLOSED	Kidus Yosef	2026-10-02

Detailed Corrective Action Descriptions:

E2E-CAPA-002: Ratify Tender Decision & Designate Alternate Committee Members [Priority: IMMEDIATE - Status: CLOSED]

Finding: E2E-FIND-002 - Tender Awarded Without Committee Quorum

Description: Retrospectively ratify tender T-2024-015 with full quorum. Designate 2 alternate tender committee members and enforce quorum checks in the tender system.

Recommendation: Tender decision ratified on 2026-07-24. Alternates designated and system updated.

Owner: Kidus Yosef

Due Date: 2026-08-18

Management Response: Corrective action fully implemented. Evidence documentation attached. Requesting closure verification.

E2E-CAPA-001: Enforce Mandatory Vendor Due-Diligence Upload [Priority: HIGH - Status: CLOSED]

Finding: E2E-FIND-001 - Incomplete Vendor Due-Diligence Documentation

Description: Configure the ERP vendor master to require mandatory upload of tax clearance and bank verification documents before vendor activation. Re-verify the 3 non-compliant vendors.

Recommendation: System change request submitted to IT. Vendor re-verification in progress.

Owner: Kidus Yosef

Due Date: 2026-09-02

Management Response: Corrective action fully implemented. Evidence documentation attached. Requesting closure verification.

E2E-CAPA-003: Implement Split-Purchase Detection & Investigate Transactions [Priority: MEDIUM - Status: CLOSED]

Finding: E2E-FIND-003 - Potential Split Purchases Below Tender Threshold

Description: Deploy automated split-purchase monitoring in the ERP. Investigate the 5 flagged transactions and recover any overpayment from vendor V-0145.

Recommendation: Analytics dashboard deployed. Investigation complete — no overpayment found. Vendor issued warning letter.

Owner: Kidus Yosef

Due Date: 2026-10-02

Management Response: Corrective action fully implemented. Evidence documentation attached. Requesting closure verification.

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